

# PITCH — 7722.T Kokusai Keisokki (国際計測器) — ADJUDICATED 2026-08-11 (rev. 2: GATES SCORED)

REV. 3, SAME DAY (the annual report fell too — 102 pages off EDINET): the calibration cuts the other way. Advances of ¥2.19bn turn out to be this company's NORMAL — the prior year-end was ~¥2.67bn, advances *declined* ¥486M during the year, and they run a structural 15–18% of backlog; the ≤¥1.5bn bar was an uncalibrated guess. Full-year FY3/26 order intake was +9.3% (book-to-bill 1.02), so Q1's -6.2% follows a *growing* intake year in a business with extreme quarterly lumpiness. And the filing states no customer exceeds 10% of sales — concentration cleared. What stands: the honest multiple is ~3.1× trailing / ~4.9× mid-cycle (in every historical year too — the resilience record already embeds the advances), servo Q1 intake -31.2% is the genuine soft spot, and 68.7% of backlog is tire-industry capex, China-led. DISPOSITION UNCHANGED — no entry, because bars don't get re-bent the same day to enable a buy. The November 6 print decides on the corrected frame: H1 operating profit ≥ ¥600M (the company's own guide) AND Q2 intake recovery reopens the starter at what is now an honestly-measured 3–4× EV/EBIT with a 4.6% paid yield.

REV. 2, SAME DAY: the gates are no longer hypothetical — the desk's full-fingerprint fetcher cracked TDnet hours after this deck first shipped, and the Q1 filing answered everything. Two of three gates FAIL as set: customer advances are ¥2.19bn (vs the ≤¥1.5bn bar — honest EV/EBIT is ~3.1× trailing / ~4.9× mid-cycle, cheap but not the 2.0× screamer), and total order intake fell 6.2% — with the damning detail that the servo segment, whose “acceptance timing” excuse anchored the bull case, took orders -31.2% while its backlog rose +17.5%. Backlog rose *because* acceptances stalled, while demand in that segment genuinely fell. PFIC passes at 39.8%. NO ENTRY. Two record corrections: Q1 operating profit was ¥198.6M (both benches quoted ¥253M, which is ordinary income), and the November tripwire was mis-set above the company's own H1 guide — the honest bar is the company's ¥600M H1 operating-profit guide, with servo intake stabilization as the co-condition. The original deck follows for the record.

ADJUDICATED: WATCH-WITH-GATES — no position today, no resting order. This is a ~\$70M Japanese maker of servo-motor test machines (tires, EV batteries, materials) trading at 0.82× book with more than half its market cap in net cash, zero analyst coverage, and a fresh -7% post-earnings gap that our sweep caught on its first day of international coverage. The court's verdict: the cheapness is real but two numbers we could not reach decide whether it's as cheap as it looks — so the entry is gated on reading them, not on price. Once the three gates below clear: a \$10k starter, sized as cyclical carry underwritten at the dividend actually paid (¥35, a 4.6% yield), not the raised forecast.

## What this company is

Kokusai Keisokki builds build-to-order testing machines — the equipment tire, EV-battery, and materials makers use to torture-test their products. Founded family still controls ~43% of the shares. Listed on the Tokyo Standard market since 2001. Nobody on the sell side covers it; foreigners own 6%.

## What happened, and why the machine flagged it

On August 7 it reported a first quarter that looked terrible on the surface: revenue –25.5%, operating profit –60%, only 16% of the full-year plan done. The stock gapped –7.0% on the next session on 6.5× normal volume — from ¥815 to ¥758 — landing 6.6% above a 52-week low it had already visited in May. Our new international dislocation sweep fired on it that afternoon; the court ran the same evening.

The company's explanation, and the reason full-year guidance was left **unchanged**: the miss is *acceptance timing*, not lost demand — parts shortages stretched manufacturing periods, so machines that are built and ordered haven't been formally accepted (and therefore not booked as revenue) yet. Backlog is +10.3% year over year.

## The valuation, corrected by the court

| Item                         | Figure                                                                                                             | Note                                                                                                                             |
|------------------------------|--------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| Price / corrected market cap | ¥758 / <del>¥10.21bn</del> (~\$70M)                                                                                | The screen's ¥10.76bn used the issued count; ~714k treasury shares (5.0%) netted out — a defect now filed for every Japanese row |
| Net cash                     | <del>¥5.97bn</del>                                                                                                 | ¥8,537M cash+deposits (balance-sheet line, blue-bench confirmed) minus ¥2,570M debt                                              |
| Enterprise value             | <del>~¥4.24bn</del>                                                                                                | ~40% of the market cap                                                                                                           |
| EV / operating profit        | <b>2.0× trailing; ~2.7× on the guided-down year; ~3.3× on the 19-year median</b>                                   | Trailing year was near a cycle peak — the honest multiple is the median one                                                      |
| Price / book                 | <b>0.82×</b>                                                                                                       | Equity ratio 60%                                                                                                                 |
| Dividend                     | Paid ¥35 (4.6%); forecast ¥40 (5.3%)                                                                               | Raised 20→30→35 over three years; we underwrite the paid figure                                                                  |
| Downside shape               | 19-yr operating range – ¥613M...+¥3,420M; the worst year was absorbed with cash intact and the dividend maintained | Unlevered, bounded tails — the carry precondition                                                                                |

# The three gates (why we are not buying today)

The kill-side bench moved every quantitative leg *against* the thesis under verification — none fatally, but enough that three numbers must be read before a single lot:

1. **Whose cash is it?** As a build-to-order manufacturer, some of that ¥8.5bn may be customer advances (deposits for machines not yet delivered). Every Japanese primary source that carries the line — TDnet, JPX, minkabu, ullet — returned 403s all session. If advances are ¥3–4bn, EV roughly doubles and the multiple is ~5–6× mid-cycle, not 2×. **Gate: advances  $\leq$  ~¥1.5bn in the annual report.**
2. **Timing or demand?** The bull's “backlog +10.3%” is arithmetically contaminated: backlog rises *by identity* when acceptances stall, even if new orders fell. Only the order-intake figure answers timing-vs-demand, and it was never quoted. **Gate: order intake flat-or-up.** (This critique was strong enough that it's now a desk-wide detector: backlog\_masks\_order\_intake.)
3. **The US tax trap.** Cash and deposits are 41% of total assets against the 50% PFIC asset-test line — and the ratio *worsens* in a downcycle exactly when we'd want to hold. A trip makes the dividend non-qualified and forces mark-to-market ordinary treatment in our tax-loss-harvesting book. **Gate: annual PFIC re-test.**

## What the defense won

- The scariest cash ambiguity **dissolved**: red found two conflicting cash figures (¥5.5bn vs ¥8.5bn); blue traced it to cash-flow-statement vs balance-sheet definitions (time deposits over 3 months). The ¥8,537M balance-sheet line stands.
- “Already priced” over-reaches: a zero-coverage, 6%-foreign orphan is not “efficiently priced” by definition — and the six-month de-rate (–38% Feb→May) means the August gap landed on an already-sold base, which is timing support *for* an eventual entry.
- Tokyo was closed for Mountain Day the day of the court — the pack's “stale” tape was actually current. Filed as holiday-aware pack QA.

## What we checked ourselves

| Claim                                        | How checked                                       | Found                                                                                                                                   | Confirmed?                             |
|----------------------------------------------|---------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|
| Post-print gap is the cause (not beta bleed) | Session-by-session tape + the tanshin filing date | –7.0% on 230,100 sh vs ~35k ADV, the session after the 8/7 print. The evidence pack carried no last-print date — fixed as a pack defect | <b>YES</b>                             |
| Market cap                                   | EPS-implied share count vs issued                 | ~714k treasury shares; cap –5.0% vs screen                                                                                              | <b>YES (corrected)</b>                 |
| Net cash ¥5.97bn                             | Balance-sheet line re-pull (both benches)         | ¥8,537M cash+deposits confirmed; the                                                                                                    | <b>YES</b> — pending the advances gate |

| Claim                            | How checked                     | Found                                                                                                                                         | Confirmed?                           |
|----------------------------------|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------|
| Dividend “¥40, 5.3%”             | Dividend history table          | smaller figure was a definitional artifact<br>FY3/26 paid <del>¥35</del> ; ¥40 is this year’s forecast from a company at 16% of plan after Q1 | <b>CORRECTED — underwrite ¥35</b>    |
| “Backlog +10.3% = demand intact” | Arithmetic identity             | Backlog rises mechanically when acceptances stall; order intake never disclosed in what we could reach                                        | <b>REFUTED as proof — now gate 2</b> |
| Trailing 2.0× EV/EBIT            | 19-year operating-profit series | Trailing year is near-peak; median-cycle multiple ~3.3×                                                                                       | <b>YES, with the honest multiple</b> |
| Liquidity                        | Volume history                  | ~US\$170–240k/day; a \$10k starter is <1% of a day; practical ceiling ~\$250k                                                                 | <b>YES</b>                           |
| Executability at IBKR            | Attempted live                  | Permission-gated this session — a TSE Standard name needs the account-permission check before any order                                       | <b>NO — owed before entry</b>        |

## Entry plan (nothing staged)

- **Today: nothing.** No order rests. The gates are filing-reads, not price levels.
- **After all three gates clear:** \$10k starter (~13 lots at ¥758), tagged cyclical-carry, fairness-pending. Underwritten at ¥35 DPS = 4.6% on cost.
- **Melting tripwire — Nov 6 H1 print:** first-half operating profit must reach ~¥750M cumulative (Q1 was ¥253M, so Q2 must roughly double). Lands → the timing story is confirmed. Misses → it was demand all along; downgrade to melting-watch, no entry.
- **The family question is permanent:** a 43% founding bloc means no one can force the value out. That’s why this is sized as carry (paid to wait at 4.6%) and never as a re-rating bet.

## Armed sensors

- Pack 7722.T|2026-11-06 — H1 print: the ¥750M tripwire + the advances line + order intake, all in one filing.

- Annual-report fetch task — the gates live in documents behind TDnet's 403 wall; the desk's new full-fingerprint fetcher works on EDGAR but a TDnet/EDINET path (Playwright or API key) is owed before November.
- Annual PFIC re-test each March 31.

## What remains unverified

- Customer advances (gate 1) and order intake (gate 2) — the two decisive numbers, both behind the 403 wall.
- IBKR executability and live pricing for a TSE Standard small-cap.
- Customer concentration (the annual report's note; if it names a >10% battery/auto OEM, customs data could triangulate demand independently).

Court conviction for the record: kill-side 4/10 on its own case (nothing fatal — unlevered, bounded tails, honest self-gating), defense 7/10 after one overturn and one reduction. Both benches converged on the same shape: real cheapness, gated entry, carry-sized, graded November 6.

```
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cyclical carry at 4.6% paid yield"}}
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